Brazil Macro Monthly

Copom to cut, but keeping the guard up

- Central Banks in DM are expected to raise rates somewhat further and keep them high for longer even with inflation starting to fall. Economic activity has been resilient, but we expect a mild recession ahead;
- In Brazil, economic activity lost steam in 2Q, although remained in positive territory. We continue to forecast that GDP will expand by 2.2% in 2023 and 1% in 2024;
- We expect the consolidated public sector to record a deficit of 1.0% of GDP in 2023 and 0.6% in 2024. In the coming months, the impact of the government's tax collection measures should become clearer;
- Inflation expectations are falling due to lower current inflation and the CMN's decision to keep the target at 3.0%. We reduced our IPCA forecast to 4.7% from 4.9% for 2023 and to 4.1% from 4.5% for 2024.
- The BRL has recently reached its strongest level in more than one year. We kept our forecasts at BRL/USD 5.00 YE 2023 and BRL/USD 5.15 YE 2024, with some downward bias.
- Better inflation outlook reinforces our scenario of 25-bps rate cut in August and 50-bps cuts at subsequent meetings. We reduced our Selic rate forecast for 2024 to 10.50% from 11.00%. At the same time, we see medium-term inflationary risks, particularly due to the expansionary bias of fiscal policy.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)
GDP growth (%)	1.2	-3.3	5.0	2.9	2.2	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.5	9.0
IPCA (CPI, 12m, %)	4.3	4.5	10.1	5.8	4.7	4.1
SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	12.00	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.00	5.15
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.2	-0.8
Public sector primary balance (% GDP)	-1.0	-9.3	0.7	1.2	-1.0	-0.6
Gross debt (% GDP)	74.3	86.9	78.8	73.5	76.3	79.2
Trade Balance (USD Bn)	35.2	50.4	61.4	61.7	73.0	64.5
Exports (USD Bn)	221.1	209.2	280.8	334.4	360.5	358.1
Imports (USD Bn)	185.9	158.8	219.4	272.7	287.5	293.6
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.8	-2.2
FDI (USD Bn)	69.2	37.8	46.4	90.6	80.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.8	3.7	3.4
Nominal GDP (USD Tri)	1.873	1.475	1.649	1.919	2.174	2.223
Nominal GDP (BRL Tri)	7.389	7.610	8.899	9.915	10.543	11.112

Source: IBGE, BCB, Bloomberg, XP.

Foreword – Inflation expectations, the key element for the Central Bank, are finally falling

The most important news for the Brazilian economy recently is that inflation expectations inverted its upward trend. This opens room for monetary policy to be sustainably less restrictive going forward.

Part of this movement is due to a benign global environment for Brazil. The global economy is rebalancing after the pandemic, which means that interest rates are approaching its peak, and commodity prices should be more stable ahead. Inflows for emerging markets increased, helping the BRL to appreciate some 10% year to date.

The other part is related to things that did not happen domestically (that would worsen the scenario). Structural reforms approved in recent years were not reverted. The central bank remains independent. The Monetary Council did not raise the inflation target, which remains at 3.0% for 2024 and beyond. Quasi-fiscal policy, particularly subsidized credit from BNDES, remain limited.

Risks, however, persist. Fiscal policy is and will be expansionary, considering all the measures the government has announced, such as a package of public investment and a program to subsided vehicles. Petrobras reduced gasoline prices beyond what would be justified by international prices. Those issues should not revert the positive momentum but may jeopardize the medium-term equilibrium of the economy.

Thus, we tend to be careful with the space for lower interest rates ahead. We reduced of 2024 IPCA forecast from 4.5% to 4.1% and our terminal Selic rate from 11.00% to 10.50% - still above the market consensus.

Global backdrop: Global inflation is finally declining, but DM Central Banks are not done yet

Francisco Nobre

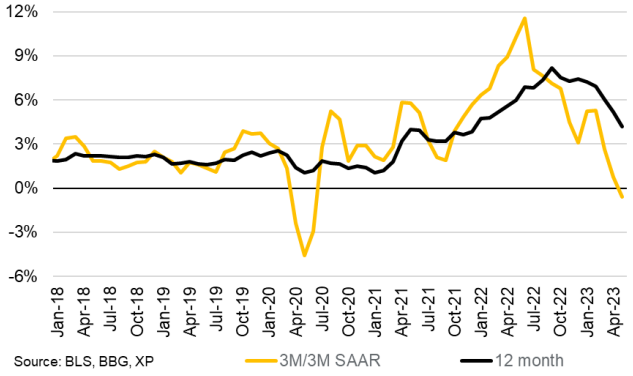
In the United States, the Fed paused its tightening cycle at its June meeting, although signaling that the committee intends to raise rates somewhat further. On the one hand, we believe that there are more signs that the disinflationary process is advancing than the Fed is recognizing: (1) producer price inflation has dropped materially, (2) services inflation, the Fed´s primary concern, has started to show much softer monthly variations, and (3) price data has started to surprise expectations to the downside. On the other hand, economic activity has been much more resilient than expected despite tight financial conditions, and the labor market remains very tight. These factors can add inflationary pressures ahead.

Overall, we believe that the "still hot although cooling" state of the US economy should be consistent with a pause to observe how the economy reacts to the significant amount of aggregate tightening already delivered. Our base case scenario remains that the Fed will not resume its tightening cycle and will keep the upper bound of the Fed Funds rate stable at 5.25% until yearend, and rates will have to remain restrictive for longer. However, we recognize that the Fed may still hike a little more, given the members´ hawkish tone amid lingering high inflation. It is a close call, and this decision will depend on the labor market and inflation data to be published before the next meeting.

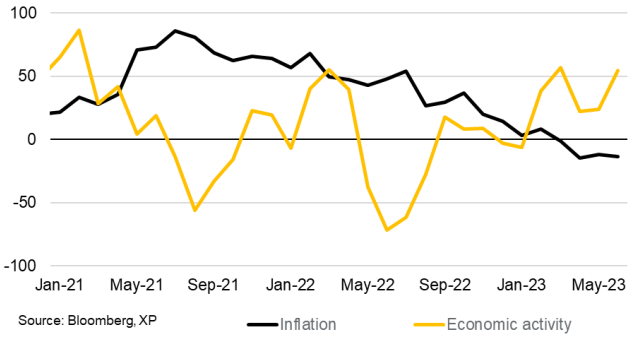
The end tightening cycle is further away for European central banks. In the Eurozone, the ECB appears to be approaching the end of its tightening cycle, although the stickiness of core inflation will probably force rate hikes in the next two meetings. Meanwhile, in the UK, core inflation has unexpectedly continued a strong upward trend, and the BoE has reaccelerated its hiking pace and will likely have to continue its tightening cycle until the end of the year. In all, monetary policy is expected to remain restrictive for longer in developed countries. We still expect these economies to enter a mild recession, although this event will likely be delayed until the end of 2023 or the beginning of 2024.

China´s 5% growth target is under threat, and expansionary policies might not be enough. Despite China´s economic reopening, the acceleration in activity has been underwhelming so far. Consumption is accelerating amid high levels of pent-up demand, although the real estate and external sectors have disappointed. Policymakers have returned to stimulus, although these measures may be insufficient to compensate for the recent weakness. The central bank has cut interest rates, although there is limited space for further easing given the weaker CHY. On the fiscal side, additional support has been announced for specific industries, such as autos, and infrastructure investment will likely increase. Still, given constraints on the extent of these stimuli, these measures are likely to stabilize but not boost growth.

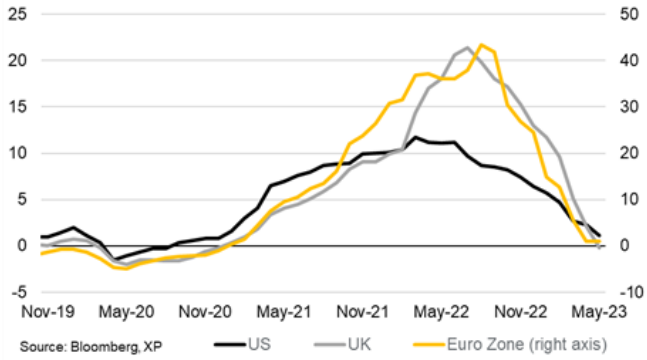
United States core services ex-rents of shelter inflation
Consumer price index



Inflation has surprised to the downside while activity to the upside in the United States
Citi Economic Surprise Index (above 0, upside; below 0, downside)



Material drop in producer prices in developed economies
Producer price index (percentage change, Y/Y)



Commodity prices are stabilizing at a sweet spot for Latin American economies. Due to the rebalancing of global supply and demand, and China´s weaker-than-expected recovery, commodity prices seem to be stabilizing at (not excessively) high levels. In fact, Brent oil prices fell below USD 72 per barrel for the first time since December 2021. This should be favorable for the global disinflation process, and, at the same time, continue benefiting countries that are net commodity exporters.

The disinflationary process in Latin America is gaining ground and central banks are trying to find the correct time to start cutting interest rates. Consumer price inflation is slowly but surely decelerating in most countries in the region, with the core measure showing clearer signs of relief. Central banks are more confident that inflation is now trending down and will likely start cutting rates in the next few months, albeit gradually at first, given that inflation continues well above target. We believe the next countries to start their easing cycles will be Chile (July), Brazil (August), and Peru (August), while rate cuts may have to wait a bit longer in Colombia (October or December) and Mexico (November).

Commodity prices stabilizing at (not excessively) high levels
CRB all commodities Index (1967=100)

Fonte: Bloomberg, XP

BRAZIL: Copom to cut, but keeping the guard up

Economic Activity – the gradual deceleration carries on

Rodolfo Margato

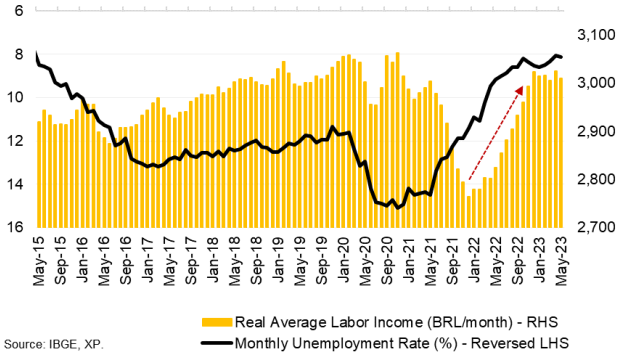
Employment and income show signs of moderation… The unemployment rate is slightly above 8%, according to our estimates, with the decline in the labor force participation rate offsetting the cooling of the employed population. Meanwhile, the recovery in real labor earnings – significant throughout 2022 – has been losing steam. We maintain the scenario of a mild deceleration in the Brazilian labor market this year.

… but the prospects for consumption remain better than initially projected. Higher government cash transfers, particularly the "Bolsa-Família" welfare program, and the easing of inflation should further support household consumption in the short term. The increase in consumer confidence, which, in June, reached its highest level in more than four years, corroborates that scenario.

The outlook for investments is more challenging. Tight financial conditions and high indebtedness weigh on the demand for capital goods and consumer durable goods. Credit concessions fell considerably last semester, especially in the corporate segment. The weakening of the manufacturing industry, civil construction, and part of retail (more sensitive to credit) should persist in the coming months.

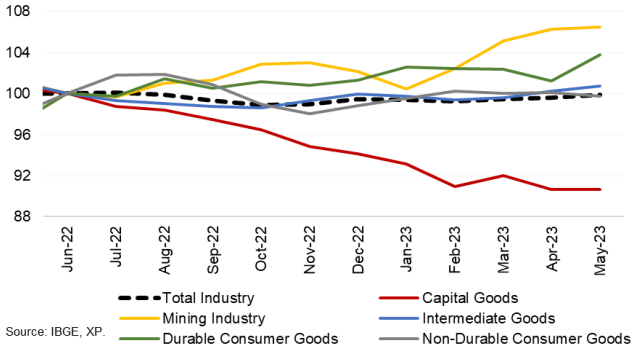
Our expectation for 2023 GDP growth continues at 2.2%. The strong performance of the sectors less sensitive to the economic cycle in the first half – especially agriculture, driven by the record

Unemployment rate stabilizing at around 8%, while the recovery of real wages loses steam
Seasonally adjusted data series



Source: IBGE, XP.

Stagnant industry, although with important sectoral differences
Seasonally adjusted data series. 3MMA. June 2022 = 100.

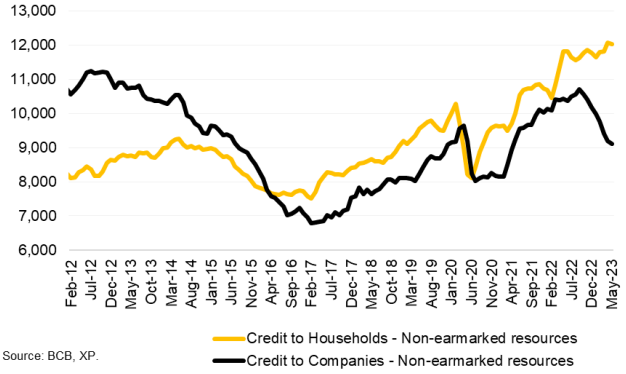


Source: IBGE, XP.

grain harvest – and the resilience of consumption is likely to allow an annual GDP well above initial projections, despite the cooling that is expected from now on.

In turn, 2024 GDP is expected to grow by 1%, although we recognize the high degree of uncertainty. GDP should advance moderately next year, in line with the slightly negative statistical carry-over effect from late 2023, the dissipation of the positive shock in agriculture, and the "post-Covid" impulses (particularly benefiting the services sector). That said, there are important sources of uncertainty surrounding our projections for domestic activity. Among them, we highlight: (i) the pace of deceleration of the global economy; (ii) the intensity of the monetary easing that should start in the current quarter; and (iii) possible short-term government stimulus measures, including quasi-fiscal policies.

Credit concessions to companies continue to fall
Real daily average, seasonally adjusted series (BRL million)



Source: BCB, XP.

Public finance – Hoping for higher tax collection

Tiago Sbardelotto

May's fiscal results recorded the worst performance since 2020. Despite tax collection growing 2.9% YoY in real terms, the central government registered a deficit of BRL 45 billion in May, the second lowest for the month in the historical series. In turn, the public sector printed a deficit of BRL 50.2 billion, with states and municipalities reaching a deficit of BRL 6.8 billion, the worst historical performance for the month.

The upcoming readings will be key to assessing the effectiveness of government measures on the revenues front. So far, the measures announced by the government have shown little impact. In the coming months, the full return of PIS/Cofins on gasoline and ethanol and the withdrawal of ICMS credits from the PIS/Cofins base, two measures presented at the beginning of the year, should show their first effects.

We maintain our deficit forecast of BRL 121.9 billion (-1.2% of GDP) this year. However, considering the pooling of resources between BRL 20 billion and BRL 30 billion, **the deficit could fall to less than BRL 100 billion**, in line with the informal target defined by the Ministry of Finance (-1.0% of GDP).

Even with changes in the fiscal framework, spending will still grow much above inflation. Our estimate indicates that the expenditure limit for 2024 should grow 1.5% above inflation. However, the framework allows the government to increase the spending limit through additional credit of 2.5% in real terms. The evolution of revenue in the coming months will also provide room for spending growth of 2.5% above inflation in 2025.

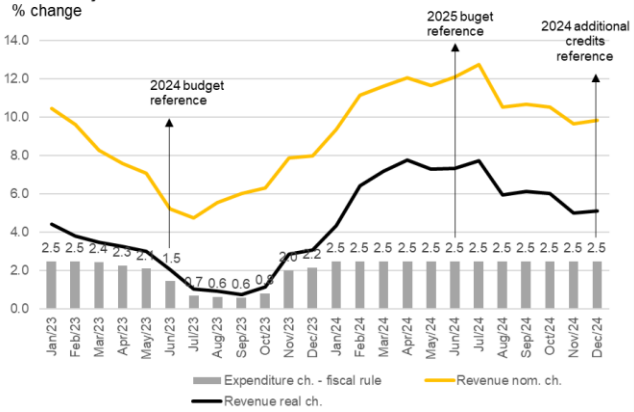
For 2024, we adjusted our deficit forecast from BRL 105.9 billion (1.0% of GDP) to BRL 86.7 billion (0.8% of GDP). The change mainly reflects the reduction in expected inflation for this year, which should result in a smaller expansion of the expenditure limit next year, in addition to updating the impacts of some measures included in our scenario. Despite the improvement, the result remains below the neutral primary result target.

Measures included in our baseline scenario BRL Billion

Measure	Gov.	2023 Collected by May	XP
Return of PIS/Cofins on financial revenues	5	2	5
Exclusion of ICMS credits from PIS/Cofins base	30	0	30
Reversal of PIS/Cofins exemption on fuels	23	3	24
Spontaneous reporting program	20	0	2
Litigation reduction program	50	2	5
PIS/Pasep Fund	26	0	26
Online bets taxation	6	0	0
Exclusion of ICMS subsides from IRPJ/CSLL base	80	0	0
E-commerce taxation	4	0	1
Transfer pricing	17	0	2
Taxation on foreign investments	3	0	4
Crude oil export tax	7	1	5
Total	**270**	**8**	**104**

Source: XP, Ministry of Finance. *Annualized impact. **Estimates for the total stock of benefits excluded from the tax base

Revenue growth in 2023 and 2024 should allow spending to increase by 2.5% in real terms
% change

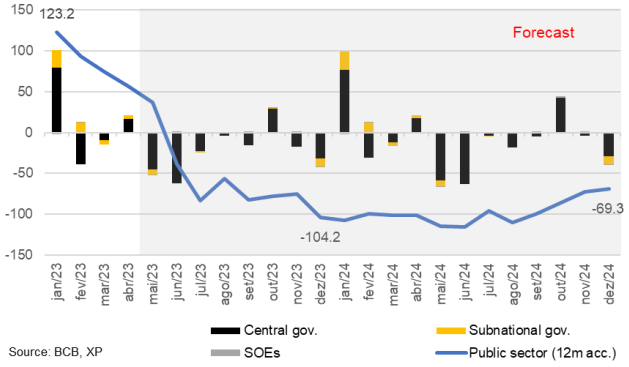


For the public sector, we changed our deficit estimate from BRL 99.5 billion (0.9%) to BRL 104.2 billion (1.0%). We revised downwards our estimates for states and municipalities on the back of lower-than-expected recent results. We expect a recovery in the coming months due to changes in gasoline taxation, but not enough to revert this trend. **For 2024, we now estimate a deficit of BRL 69.3 billion (0.6% of GDP) from BRL 82.0 billion (0.8% of GDP) in the previous month**.

Public debt remains on the rise. We estimate gross general government debt for 2023 and 2024 at 76.3% and 79.2%, respectively. Primary deficit and low nominal GDP growth (due to falling inflation) contribute to that trend. In our view, the new fiscal framework – that is about to be approved in Congress – does not stabilize debt/GDP anytime soon. The growth rate, however, should eventually decelerate as the primary deficit narrows in the years to come.

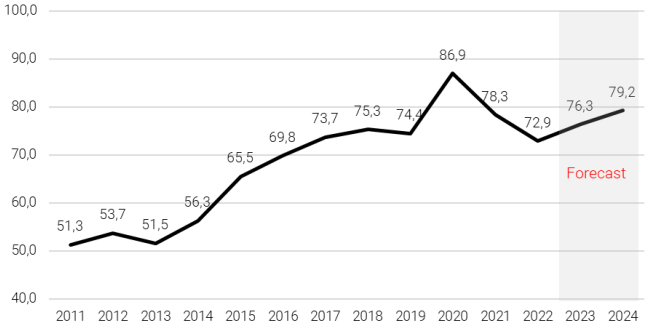
Tax reform is the next important event. The discussion on tax reform should gain momentum. The initial report brought a dual VAT (one federal VAT and one VAT for states and municipalities), destination-based taxation with a 5-year transition for consumers and 50 years for subnational entities and the implementation of a standard rate, with exceptions related to healthcare, education, and other sectors, which will have a reduced rate (50% of the standard rate), in addition to the possibility of a zero rate for some specific items. The fiscal impact of the measure should be neutral at first, but there are gains in potential growth.

Public sector to record deficits in the coming months
Primary balance (BRL billion)



Source: BCB, XP

Public debt continues to rise
General Government Gross Debt (% of GDP)



Source: BCB, XP

Inflation – falling expectations

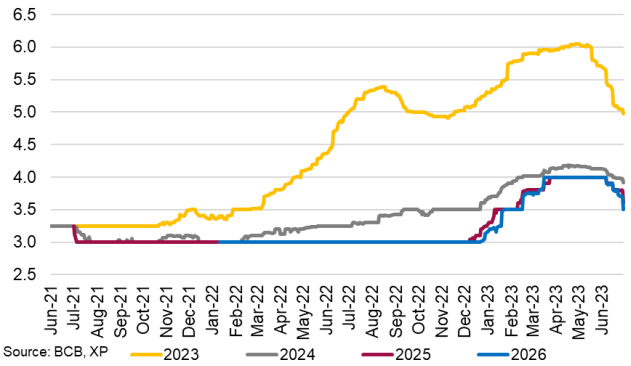
Alexandre Maluf

We reduced our 2023 forecast to 4.7% from 4.9%... Petrobras announced a 5.6% cut in gasoline and 3.9% in GLP (cooking gas) to distributors on June 30th, which causes, in our view, a permanent effect in this year's inflation of 0.14pp. In addition, we project an additional deflation of new and used car prices after the announcement of an extra BRL 300 million for the government's incentive program for the automobile sector, and we reduced the projection of inflation for food and other industrialized items, considering the recent benign dynamics.

IGP-M deflation reinforces short-term consumer price disinflation... The deflation of producer costs supports the benign scenario for short-term consumer price inflation. The agricultural IPA accumulated a drop of 15% in the interannual variation that ended in June, while the industrial component retreated by 9%. For the year, market expectations for the IGP-M point to a deflation of around 2%.

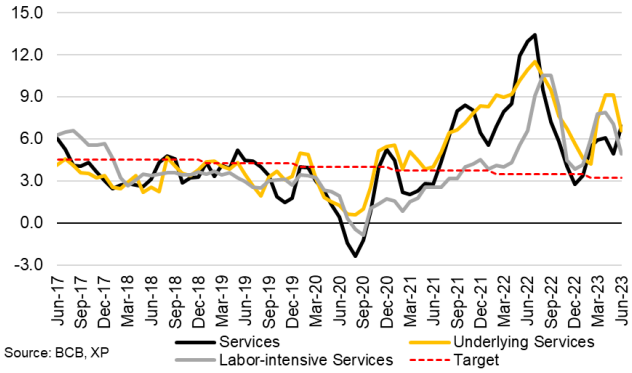
Services inflation remains the main concern. We project that it will end 2023 at around 6%, above the inflation target (see table below). Despite the recent volatility, labor-intensive services prices showed some relief in the June IPCA-15. We expect a gradual deceleration in this metric and in core services in the coming quarters, in line with our perspective of a cooling-down labor market.

Inflation expectations remain on a downward path
12 month acc. (%)



Source: BCB, XP

Services inflation still running well above the target
IPCA-15, 3M SAAR (%)



Source: BCB, XP

For 2024, we revised our forecast to 4.1% from 4.5%. Lower inertia and the adjustment of inflation expectations for the coming years are the underlying assumptions for our revision. The decision by the National Monetary Council (CMN) to maintain the inflation target from 2024 onwards at 3.0% was relevant in this regard. However, the expansionary bias of fiscal policy made us skeptical about the complete convergence of inflation next year. Moreover, volatile groups, such as food and industrial goods, which have retreated a lot this year, may show a rebound in 2024.

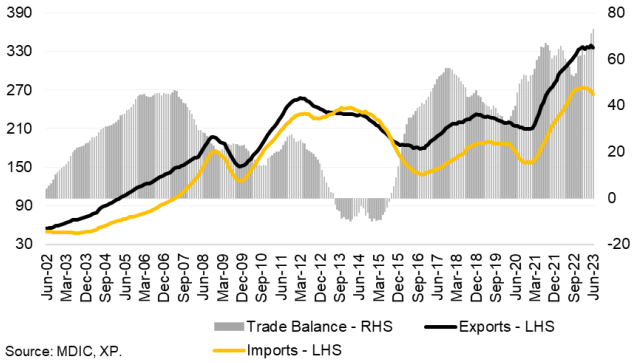
IPCA Groups (annual change, %)	2023		2024	
	Prior	Current	Prior	Current
Monitored prices	8.8	8.3	5.8	5.4
Market-set prices	3.6	3.5	4.1	3.7
Food at home	0.8	0.7	3.6	3.2
Industrials	2.2	2.0	3.9	3.4
Services	5.8	5.8	4.4	4.1
IPCA	4.9	4.7	4.5	4.1

External Accounts – solid trade balance and exchange rate reduction

Rodolfo Margato

Current exchange rate levels are close to those suggested by economic fundamentals. The Brazilian exchange rate appreciated by 5% between the end of May and the end of June (from BRL/USD 5.05 to BRL/USD 4.80, approximately). Our estimates already pointed to an appreciation of the Brazilian Real in the short term, in line with the US dollar weakening, stabilization of commodity prices at still high levels, massive trade flows (especially exports of agricultural goods) and lower perception of domestic risk with the announcement and processing of the new fiscal framework. For now, we maintain our projections for the exchange rate at BRL/USD 5.00 YE 2023 and BRL/USD 5.15 YE 2024, although assigning a downward bias. According to our calculations, recent exchange rate levels are not far from those suggested by economic fundamentals (between BRL/USD 4.45 and BRL/USD 4.70).

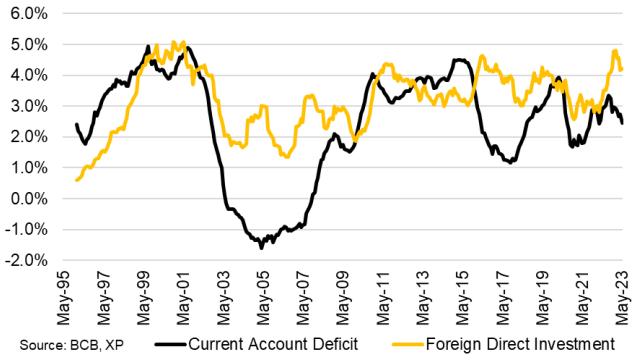
Trade balance remains at all-time highs, boosted by exports of primary goods
12-month acc. (USD billion)



Source: MDIC, XP.

Robust external accounts, with emphasis on the trade balance. The outlook for the Brazilian balance of payments remains positive, with no relevant changes in the recent period. The trade balance recorded a surplus of nearly USD 10 billion in May, an all-time high on a monthly basis. Exports have risen significantly (mainly of primary goods), while imports have been slowing. Therefore, we continue to anticipate that the current account will reach USD -40.0 billion at the end of 2023 (-1.8% of GDP), after registering USD -55.7 billion at the end of 2022 (-2.9% of GDP) and USD -48.5 billion based on the 12-month rolling sum up to May (-2.4% of GDP). In turn, net inflows in FDI – Foreign Direct Investment – remain at elevated levels: USD 83.4 billion in the 12 months through May (4.2% of GDP), well above the amount of USD 57.0 billion seen a year earlier (3.2% of GDP). We forecast net inflows of USD 80.0 billion at the end of 2023 (3.7% of GDP) after USD 90.6 billion at the end of 2022 (4.8% of GDP), reflecting the slowdown in domestic activity and corporate profitability.

FDI Inflows remain much above the current account deficit
12-month acc. (% of GDP)



Source: BCB, XP

Monetary Policy – the central bank's effort is paying off; the next move should be a cut

Caio Megale

The inflation outlook continues to improve. Producer prices (measured by IPA-M) fell 10% year on year in June, reflecting global cost-push deflation and the stronger BRL. Domestic demand is weakening, despite the increase in fiscal transfers. And the inflation target was ultimately confirmed at 3.0%.

This improvement reflects the persistence of the Central Bank in fighting inflation. The Copom resisted the political pressures and kept focusing on bringing inflation to the target path. The effort is finally paying off. Medium term inflation expectations are falling, reverting the upward trend seen in the first semester (see chart on inflation section above).

We believe that this evolution reinforces room for a gradual monetary policy flexibilization, which is currently at a significantly restrictive level. Thus, we keep our scenario (held since April) that the Copom will cut the Selic rate by 25 bps in August and cut 50-bps at subsequent meetings.

Having said that, **we still see medium term inflationary risks, particularly due to the expansionary bias of fiscal policy.** Moreover, part of the current disinflation is concentrated in volatile items, which could kick back next year. As a result, we forecast IPCA inflation still above the 3.0% target ahead (see inflation section above).

Against this backdrop, we are more cautious than the market on the extent of monetary easing ahead. We adjusted our terminal Selic rate to 10.50% from 11.00% in line with lower inflation expectations, keeping roughly the same expected real interest rate. Future markets are currently pricing at around 9.00%.

XP Forecasts

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GDP growth (%)	1.2	-3.3	5.0	2.9	2.2	1.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	8.5	9.0
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SELIC rate (% p.y., end of period)	4.50	2.00	9.25	13.75	12.00	10.50
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	5.00	5.15
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-1.2	-0.8
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Source: IBGE, BCB, Bloomberg, XP.

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